Chainalysis

Bitcoin Peel Chain Detection in Reactor

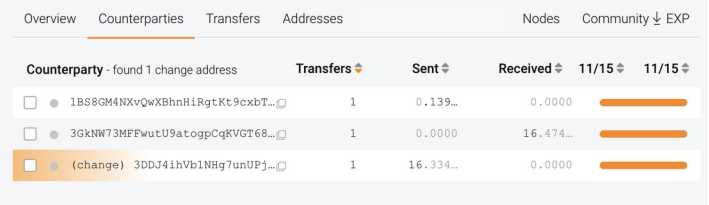
Automation of Change Analysis During Investigations

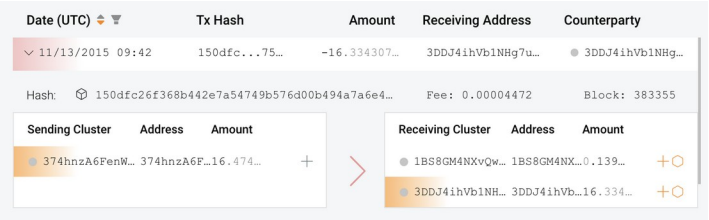
Cryptocurrency investigators and compliance analysts frequently encounter peel chain analysis during the course of their investigations. A peel chain is a transaction pattern commonly seen in Bitcoin analysis, in which there appear to be many intermediary addresses between a target cluster and another cluster of interest, such as a service or illicit entity. In reality though, those intermediary addresses are part of the user's original wallet, and are created automatically to receive the leftover change that results from certain transactions.

Previously, peel chain analysis was a manual, time consuming process. Now, Chainalysis Reactor analyzes Bitcoin transaction metadata to determine the most likely change output - saving investigators' time and improving accuracy. Reactor can suggest change outputs or unravel long peel chains in a single click.

Detection of Change Addresses

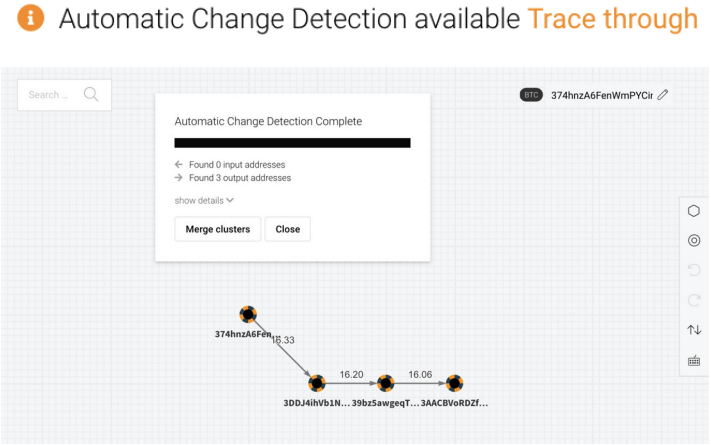
Reactor automatically detects which address in a transaction is a change address. The change address is highlighted in orange in the counterparties and transfers tab. This enables investigators to easily identify a change address during detailed transaction analysis.





Automatic Peel Chain Graphing

When change is automatically detected, users can select "Trace Through" on the top of the info panel. When this is selected, using machine learning algorithms, Reactor traces through the transactions, detects change addresses, and adds the peel chain to the graph. This saves investigators hours of time when tracing through peel chain transactions.



Test it out! Add bc1qkum2he43dx0z3nr05s4y4pccvslamty7ycj4jy to your Reactor graph